Niche vs. mass marketing

Two fundamental choices traditionally face marketers: whether to try to sell a product with broad appeal to as many people as possible, or to focus on selling a tailored product to a defined group.

How it works

Both niche and mass marketing strategies offer businesses the potential to make a high return on investment. A niche approach generally works on the basis of low-volume sales at a premium price to a specific group of consumers, while a mass approach tends to use heavy promotion to a wider audience and aims to achieve high-volume sales.

In reality, businesses tend to mix up both approaches, launching a niche product and then expanding it to a mass market. Marketers also use internet channels to promote the same product to different groups of customers within a mass audience.

20%

of sales can make up to 80% of profit

NEED TO KNOW

Long-tail marketing

Coined by *Wired* magazine editor Chris Anderson, the term "long-tail marketing" takes its name from a demand curve (see below) depicting products with low demand or sales volume—niche products—that continue to sell and make profit over time.